Hope Fades

S&P −0.39% as diplomatic rally dissolves. WTI settles above $100 for the first time since 2022. Powell says rates in a "good place."

THE SESSION

Monday opened on diplomatic optimism and closed on crude reality. Futures had pointed to a relief rally after weekend signals from Pakistan-hosted talks and Treasury Secretary Bessent's pledge to restore freedom of navigation through the Strait of Hormuz. The Dow gained as much as 406 points in early trading. By the close, the S&P 500 had surrendered the entire move and then some, finishing at 6,343.75, down 0.39% for a third consecutive losing session. The Nasdaq declined 0.73% to 20,794.64. The Dow held a fractional gain of 0.11%, the only major index in the green. The Russell 2000 fell 1.46%, continuing to bear the heaviest weight of the conflict-driven rotation.

The session's defining catalyst was oil. WTI crude settled at $102.88, its first close above $100 since July 2022. Brent finished at $112.78, capping a 55% monthly gain—the largest for the contract since its inception in 1988, surpassing the previous record set during the Gulf War. The energy shock is now firmly a macro event: gas prices approaching $4 per gallon nationally, airline surcharges rising, and industrial input costs climbing across sectors.

Federal Reserve Chair Powell spoke at Harvard's introductory economics class in what may be one of his final public appearances before his term ends in May. The message was measured: rates are in a "good place," the Fed will look through the oil shock rather than hike into it, and inflation expectations remain anchored. Market-implied odds of a rate increase this year fell from above 50% on Friday to roughly 2% after the remarks. The removal of near-term tightening risk was constructive, but it was not enough to overcome the session's headwinds.

Technology led the decline. Semiconductors extended their pullback as Micron fell 10% in late trading on continued fallout from Google's TurboQuant algorithm announcement, which has raised questions about future memory demand intensity. LRCX fell 5.43%, TSM declined 3.13%, and AMD shed 2.95%. The broader tech selloff reflects a regime shift from AI optimism to geopolitical repricing that has defined March.

IOWN Tactical: The pattern the morning brief identified—hope trades bought and sold within 48 hours—played out in a single session. The portfolio does not trade the pattern. It is positioned through it.

IOWN HOLDINGS: NOTABLE MOVERS

WINNERS

EIX +2.19% GROWTH PORTFOLIO

Utility names attracted capital as investors rotated toward defensive yield. Edison International benefited from both the rate-on-hold signal from Powell and broader risk-off positioning.

ADP +2.10% DIVIDEND STRATEGY

The payroll processor gained ahead of a data-heavy week that includes ADP's own private payrolls report on Wednesday. Deutsche Bank noted stable employment services demand. Defensive earnings profile drew buyers.

SSNC +1.88% DIVIDEND STRATEGY

The financial technology and data analytics firm continued its steady recovery. Enterprise software with recurring revenue streams has held up better than growth-oriented tech through the conflict.

SUPV +1.81% GROWTH PORTFOLIO

The Argentine bank extended recent strength as Latin American financials continue to benefit from the flight out of conflict-exposed regions. Milei's reform momentum provides a separate catalyst.

CL +1.71% DIVIDEND STRATEGY

Consumer staples attracted buyers in a classic risk-off session. Deutsche Bank raised its price target on Colgate last week, citing opportunities created by the March selloff.

DECLINERS

HUT –9.88% GROWTH PORTFOLIO

The Bitcoin miner led portfolio declines as crypto-linked equities continued to sell in sympathy with risk assets. HUT has fallen sharply from its 52-week high despite a constructive longer-term AI infrastructure pivot. Near-term price action remains hostage to Bitcoin and geopolitical sentiment.

LRCX –5.43% DIVIDEND STRATEGY

Semiconductor equipment names extended the pullback triggered by Google's TurboQuant algorithm and the Micron memory selloff. Lam's 35% China revenue exposure adds an additional layer of geopolitical risk to its valuation.

CAT –4.02% DIVIDEND STRATEGY

Caterpillar fell despite rising commodity prices that typically support equipment demand. The market is pricing in margin compression from higher input costs and broader industrial slowdown concerns. Aluminum's surge to four-year highs after Iran struck Gulf smelters adds complexity.

KEYS –3.46% GROWTH PORTFOLIO

Keysight declined alongside the broader semiconductor and test-equipment complex. The stock has been caught in the rotation out of anything adjacent to the AI hardware trade.

TSM –3.13% GROWTH PORTFOLIO

Taiwan Semiconductor fell as the Philadelphia Semiconductor Index extended its monthly decline. TSM's exposure to global shipping routes and elevated geopolitical risk around Taiwan adds a structural discount to the foundry leader.

HOLDINGS NEWS

Powell removes the rate-hike overhang. The Fed Chair's Harvard remarks directly benefit rate-sensitive holdings across both sleeves. With market-implied odds of a 2026 hike collapsing from over 50% to roughly 2%, the discount rate pressure that had weighed on longer-duration names—particularly in the Dividend Strategy—has eased meaningfully. NEE (+0.71%), ATO (+1.00%), and BKH (+0.61%) all responded.

Bernstein calls crypto stocks a buy-the-dip opportunity. Analysts noted that COIN, HOOD, and other crypto-linked names are trading at significant discounts to recent peaks. COIN held relatively steady today at −0.22%, while HOOD declined 1.30%. The structural case—including Morgan Stanley's imminent spot Bitcoin ETF launch—remains intact beneath the near-term geopolitical pressure.

Deutsche Bank raises CL target. The bank cited opportunities created by the March selloff in consumer staples. Colgate's pricing power and global distribution make it a defensive compounder in an inflationary environment. CL gained 1.71% on the session.

PORTFOLIO PERFORMANCE

DIVIDEND STRATEGY ✓ BEAT ONE

–0.49%

vs. DVY +0.35% | IWS –0.64%

GROWTH PORTFOLIO ✗ TRAIL

–0.93%

vs. IUSG –0.83%

YEAR-TO-DATE

Dividend +3.35% vs DVY +6.30% / IWS –0.07%
Growth –5.93% vs IUSG –11.88%